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Dr. Kristin Monaco, Director
Bureau of Trade Analysis
Federal Maritime Commission
800 N. Capitol Street, NW
Washington, DC 20573

Via email: TradeAnalysis@FMC.gov

December 29, 2023

Re: Application for Special Permission – Ocean Network Express Pte. Ltd.

Dear Dr. Monaco:

As a global carrier, Ocean Network Express Pte. Ltd. operates services between the U.S. Atlantic and Gulf Coasts and various locations around the world, including the Middle East and the Indian Subcontinent. The services between the U.S. Atlantic and Gulf Coasts and the Indian Subcontinent and Middle East have historically transited the Suez Canal, which provides a shorter, faster and less expensive alternative to sailing around the southern cape of Africa. As the Commission is aware, in recent days there have been a number of attacks on vessels transiting the narrow strait at the south end of the Red Sea. Indeed, a THE Alliance vessel operated by Hapag Lloyd was struck by a missile in this area on December 15, 2023. Ocean Network Express Pte. Ltd. had more than 3,000 TEU of laden containers on board the vessel that was struck.

These attacks have made it too dangerous to continue operating services via the Suez Canal. Ocean Network Express Pte. Ltd. has decided instead to route its vessels around Africa for the safety of the crews, vessels, and cargo. Diverting vessels away from the Suez Canal and sailing around Africa significantly lengthens the voyage to and



from the Indian Subcontinent and Middle East to and from the U.S. Atlantic and Gulf Coasts, and significantly increases the costs of providing these services.

In an effort to offset these costs, Ocean Network Express Pte. Ltd. (ONE) has published a Red Sea Diversion Charge (RSD)(as fully set forth in the Attachment below) of:

USD 200 per 20' container

USD 400 per 40' & 40' High Cube container

USD 400 per 45' container

USD 600 per 40' & 40' High Cube refrigerated container

in Tariff ONEY-202 Rule 219.

The RSD is scheduled to be effective January 28, 2024. However, unless the effective date of this new surcharge is advanced, ONE will be unable to offset its increased costs for more than three full weeks.

Accordingly, we respectfully request that special permission be granted to advance the effective date of the RSD to the earliest possible date.

In support thereof, ONE notes that the FMC has recently granted special permission for very similar relief to Maersk (Approval Letter dated December 29), MSC (Approval Letter dated December 27, 2023), Hapag-Lloyd (Approval Letter dated December 22, 2023), and CMA (Approval Letter dated December 21, 2023), in each case allowing the revised tariff to be effective on the date of approval.

The filing fee for this Special Permission application in the amount of \$450.00 has been paid by the undersigned via Pay.gov with Tracking ID 27AJ695F and Agency Tracking ID: 76591386768.

Please do not hesitate to contact me or Eric C. Jeffrey at Ejeffrey@JeffreyFenneman.com if you have any questions with regard to this Special Permission Application.

Respectfully submitted,

Rebecca A. Fenneman

Rebecca A. Fenneman

Counsel for Ocean Network Express, Pte. Ltd.

Attachment: Tariff ONEY-202 Rule 219

cc: Client



Attachment

Tariff ONEY-202 Rule 219:

Red Sea Diversion Charge (RSD)

The Red Sea Diversion Charge (RSD) will apply in order to offset increased operational costs as a result of having to divert vessels away from the Red Sea/Suez Canal in consideration of recent attacks on commercial vessels in the Red Sea area.

This Red Sea Diversion Charge (RSD) is in effect for North America (USA & Canada) East & USA Gulf Coast to the Middle East* and/or Indian Sub-Continent** and applies for all cargo and container types as follows:

Quantum:

USD 200 per 20' container

USD 400 per 40' & 40' High Cube container

USD 400 per 45' container

USD 600 per 40' & 40' High Cube refrigerated container

* For the purpose of this rule, Middle East is defined as:

United Arab Emirates, Oman, Bahrain, Kuwait, Qatar, Saudi Arabia (including Dammam and Al Jubail), Jordan & Sokhna, Egypt

** For the purpose of this rule, Indian Sub-Continent is defined as:

India, Bangladesh, Pakistan

